EQUITY VALUATION REPORT

Reliance Industries Limited

Financial Modelling & Valuation

VALUATION DATE
22 October 2026

FINANCIAL PERIOD
FY2025–26

METHODS
DCF · Trading comps · SOTP

PREPARED BY
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Independent academic valuation exercise. Not produced, reviewed or endorsed by Reliance Industries Limited.

Contents

From reported results to a valuation view

The report states its conclusion first, then shows the evidence: what Reliance earns, what I assume, what each method implies, and what the market price already discounts.

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CONVENTIONS

All figures are in ₹ crore unless stated; 1 lakh crore = ₹100,000 crore. Fiscal years end 31 March (FY2026 = year to March 2026). The valuation date is **22 October 2026**, the second day of the Jio Platforms IPO; market inputs are as of that date, and events after it are reported separately on page 16 rather than built into the base case. Per-share values use 1,353.25 crore shares outstanding.

Forecasts are built on revenue from operations (net of GST and excise), not gross revenue, so margins and capex ratios are not inflated by pass-through indirect taxes. Segment revenue is shown gross, as Reliance reports it.

FY2026 consolidated EBITDA of ₹207,911 crore includes a one-off gain of ₹8,924 crore from the sale of listed investments, which Reliance discloses in its Q4 FY2026 results release. I remove it everywhere it would otherwise be capitalised: **normalised FY2026 EBITDA is ₹198,987 crore**.

Executive summary

Fair value ₹1,160 per share: Reliance is fairly priced, and that price now rests on Jio's IPO valuation

My sum-of-the-parts puts equity value at ₹15.7 lakh crore, 2% below the market. The cash-flow valuation is far lower, which tells me how much of today's price depends on the market's view of Jio.

FAIR VALUE (SOTP)	SHARE PRICE, 22 OCT 2026	IMPLIED RETURN	SCENARIO RANGE
₹1,160	₹1,184.5	−2%	₹781–1,485
Equity ₹15.71 lakh cr · primary method	Market cap ₹16.03 lakh cr	View: fairly valued	Bear to bull SOTP

THREE FINDINGS

- **Jio is 41% of Reliance's market value.** At the IPO price of ₹1,119, Reliance's 64.5% stake in Jio Platforms is worth ₹6.65 lakh crore (₹491 per RIL share). That valuation equals 14.8× Jio's FY2026 EBITDA, against 9.97× for Bharti Airtel. Whether Jio holds that premium is the single largest driver of RIL's value.
- **The market prices Reliance Retail at about 18× EBITDA.** Take the Jio stake out of the market cap, value refining, E&P and New Energy at peer multiples, and the residual implies ₹5.0 lakh crore for 100% of Retail: about 40% below its ₹8.36 lakh crore 2023 private funding valuation and half of DMart's multiple. Retail is where I see the mispricing.
- **A conservative DCF does not support the price.** At an 11.2% WACC built from today's 7.4% G-sec yield, with no value assumed from growth after FY2036, the DCF gives ₹699 per share. Reaching ₹1,184.5 needs a 7.6% WACC or 4.4 percentage points more EBITDA growth every year for a decade. I use the DCF as a floor on fundamentals, not as the price target.

Method	Equity value	Per share	vs price	Role in the view
Sum-of-the-parts, base	**1,570,556**	**₹1,161**	**−2%**	**Primary: values each business on its own economics**
SOTP, bear / bull	1,057,343 / 2,010,173	₹781 / ₹1,485	−34% / +25%	Range: Jio multiple, Retail multiple, holdco discount
DCF, base	945,629	₹699	−41%	Cross-check: intrinsic floor at today's rates
Probability-weighted SOTP	1,552,157	₹1,147	−3%	25% bear / 50% base / 25% bull

What would change my view. Upside: Jio trading at its listing price rather than the IPO price, or a Retail transaction near its 2023 valuation; each adds about ₹90 per share. Downside: Jio de-rating toward Bharti's multiple (−₹160 per share) or a weaker refining cycle (−₹40 per share per turn of O2C multiple).

Valuation date 22 October 2026. Jio listed on 28 October at ₹1,358, 21% above the IPO price; at that price my SOTP rises to ₹1,255. This post-date check is shown on page 16 and is not part of the base case.

Investment thesis

Three arguments, each with the evidence that would prove it wrong

A conglomerate discount only matters if you can say which part of the group the market is mispricing. My answer is Retail, not Jio.

1 · THE JIO IPO TURNS RIL'S LARGEST ASSET INTO A MARKET PRICE

For six years, Jio's value inside Reliance was an analyst estimate. The IPO, priced at the top of its ₹1,065–1,119 band, values Jio Platforms at ₹10.3 lakh crore post-money, or 14.8× FY2026 EBITDA of ₹76,255 crore once ₹1.02 lakh crore of deferred spectrum dues and net debt (after IPO proceeds) are added. That premium to Bharti Airtel (9.97×) is defensible on growth: Jio's FY2026 EBITDA grew 18.8% and margin reached 51.9%. Reliance shareholders now hold a tradable asset, and a holding-company discount, not a valuation debate, decides what that asset contributes.

What would prove it wrong: a post-listing de-rating toward Bharti's multiple. At 10× EBITDA the stake falls from ₹491 to ₹315 per RIL share, or ₹160 after the holding-company discount.

2 · RETAIL IS PRICED AT A STEEP DISCOUNT TO EVERY REFERENCE POINT

After removing the Jio stake, the market capitalisation leaves ₹9.4 lakh crore for everything else. Valuing O2C at 7×, Oil & Gas at 5× and Other at 6× EBITDA leaves ₹4.2 lakh crore for RIL's 85% of Retail: an implied 18.3× FY2026 EBITDA. Reference points: DMart trades at 37×; the 2023 QIA, KKR and ADIA rounds valued RRVL at ₹8.3–8.4 lakh crore, about 31× FY2026 EBITDA. My base case uses 25×, a third below DMart for lower margins and heavier capex, and it is still above what the market implies.

What would prove it wrong: Retail EBITDA growth falling below about 8%, which is what 18× implies for a business of this scale, or a funding round below the 2023 valuation.

3 · THE CAPEX CYCLE HAS TURNED, AND FREE CASH FLOW IS INFLECTING

Operating cash flow exceeded capex by ₹69,197 crore in FY2026, after a ₹25,956 crore deficit in FY2023 at the peak of 5G spending. In my forecast, capex falls from 11.4% to 8.5% of revenue by FY2031 while EBITDA compounds at 8.9%, so unlevered free cash flow more than doubles from ₹49,300 crore in FY2027 to ₹114,900 crore in FY2031.

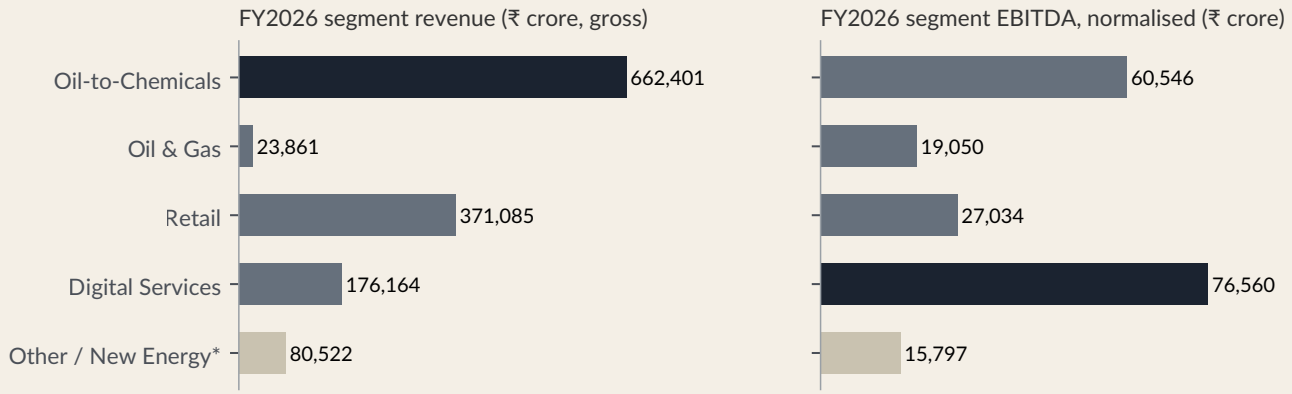
What would prove it wrong: New Energy giga-factory spending keeping capex above 10% of revenue beyond FY2028, which would push the FCF inflection out by two to three years.

Why the DCF and SOTP disagree, and why I lead with the SOTP. My DCF implies an EV of 7.1× normalised FY2026 EBITDA for the whole group. The market prices Jio alone at 14.8×. The SOTP respects that observable price; the DCF shows how much of it rests on growth beyond what I can forecast with confidence. For a group whose largest asset now has a market price, the SOTP is the more defensible primary method.

Business mix and segment economics

Oil-to-Chemicals books half the revenue; Digital Services earns the most EBITDA

Revenue and profit sit in different businesses with different growth and return profiles, which is why a single consolidated multiple misprices Reliance.



Segment	Revenue (gross)	Share	EBITDA	EBITDA margin	Share of EBITDA	Character
Oil-to-Chemicals	662,401	50.4%	60,546	9.1%	30.4%	Cyclical; refining and petchem margins
Oil & Gas	23,861	1.8%	19,050	79.8%	9.6%	KG-D6 gas; declining field profile
Retail	371,085	28.2%	27,034	7.3%	13.6%	Growth; store and digital commerce
Digital Services	176,164	13.4%	76,560	43.5%	38.5%	Growth; telecom and digital, now listed
Other / New Energy (normalised)	80,522	6.1%	15,797	19.6%	7.9%	Includes New Energy, media; ex one-off
Total before eliminations	**1,314,033**	**100.0%**	**198,987**		**100.0%**	

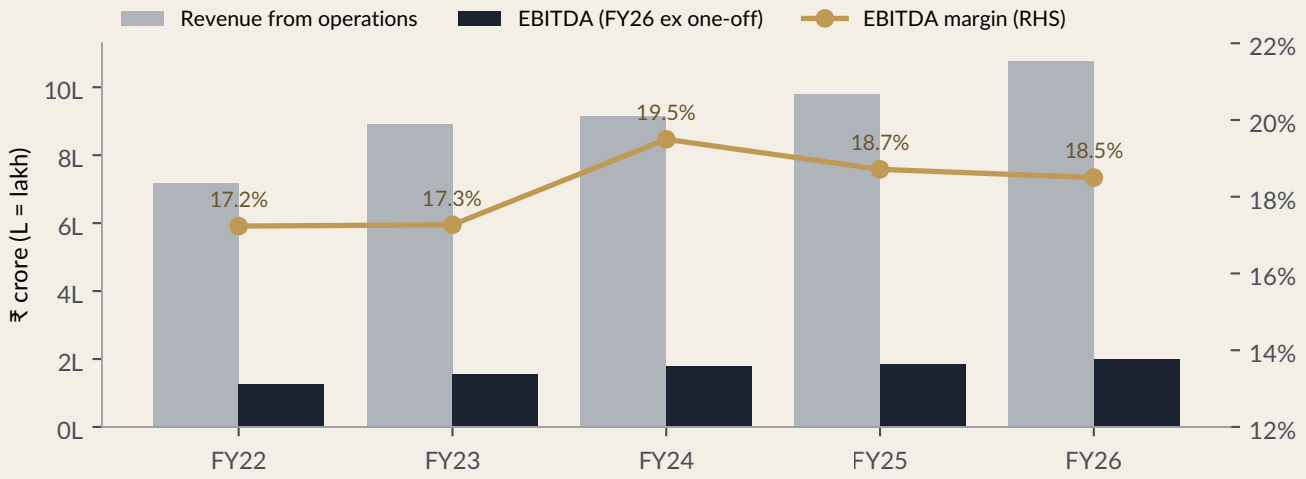
Segment EBITDA as used in the SOTP; 'Other' is consolidated EBITDA less the four reported segments, net of the ₹8,924 crore one-off gain from the sale of listed investments disclosed in RIL's Q4 FY2026 release. Inter-segment eliminations of ₹138,114 crore reconcile segment revenue to consolidated gross revenue of ₹1,175,919 crore.

Digital Services earns 38% of normalised EBITDA from 13% of revenue at a 43% margin; Oil-to-Chemicals earns 30% of EBITDA from half the revenue at 9%. Retail's 7% margin understates its value: it is the fastest-growing large business in the group, and its returns depend on scale rather than margin. A blended multiple applied to consolidated EBITDA, such as the 8.3× that a simple EV/EBITDA calculation gives, mixes a commodity processor with two consumer platforms and tells the reader little about either.

Historical performance

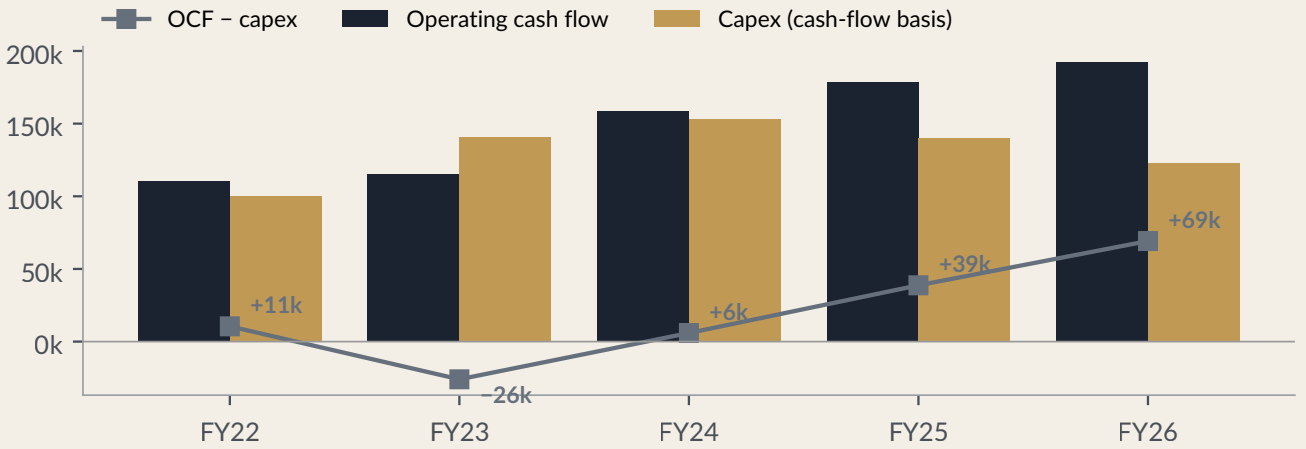
EBITDA grew 61% in four years, and the FY2023 cash deficit has become a ₹69,000 crore surplus

Margins expanded as Digital and Retail grew faster than refining. The cash-flow turn matters more: Reliance is moving from building assets to harvesting them.



Revenue from operations rose from ₹717,635 crore in FY2022 to ₹1,075,675 crore in FY2026 (10.7% a year). EBITDA rose from ₹123,684 crore to ₹198,987 crore on a normalised basis (12.6% a year), and margin on net revenue widened from 17.2% to 18.5%. The FY2025 dip to 18.7% from 19.5% reflected weaker refining margins; it is a reminder that O2C still sets the year-to-year swing.

OPERATING CASH FLOW VS CAPEX (₹ CRORE)



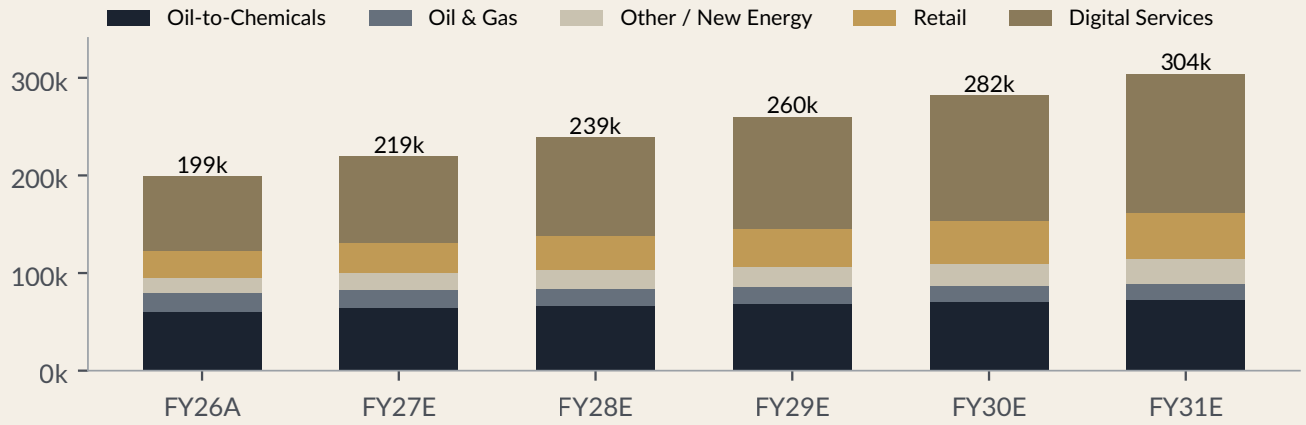
Capex exceeded operating cash flow only in FY2023 (₹140,988 crore against ₹115,032 crore), the year of 5G spectrum and rollout spending. Since then, cash capex has fallen for two years while operating cash flow rose to ₹192,113 crore. Net debt has held between ₹116,000 and ₹126,000 crore since FY2023, at 0.6× EBITDA, as surplus cash was retained rather than used to repay gross debt of ₹374,421 crore against cash of ₹249,704 crore.

Capex is the cash-flow-statement measure (PP&E, spectrum and other intangibles), which differs from Reliance's management capex (₹144,271 crore in FY2026, excluding spectrum). Net debt as reported by Reliance; it excludes deferred spectrum liabilities, which I treat as debt-like in the valuation. Full five-year table in the Appendix.

Forecast

EBITDA compounds at 8.9% to FY2031, led by Digital and Retail while refining grows with the cycle

Each segment has its own growth path and rationale, replacing a single revenue growth rate with fixed margins.



Segment EBITDA	FY26A	FY27E	FY28E	FY29E	FY30E	FY31E	CAGR
Oil-to-Chemicals	60,546	64,179	66,104	68,087	70,130	72,234	3.6%
Oil & Gas	19,050	18,478	17,924	17,386	16,865	16,359	−3.0%
Retail	27,034	30,548	34,520	38,662	43,302	48,065	12.2%
Digital Services	76,560	88,810	101,243	114,405	128,133	142,228	13.2%
Other / New Energy	15,797	17,377	19,114	21,026	23,128	25,441	10.0%
Consolidated EBITDA	**198,987**	**219,392**	**238,905**	**259,566**	**281,558**	**304,326**	**8.9%**
Margin on revenue from operations	*18.5%*	*19.0%*	*19.4%*	*19.6%*	*19.9%*	*20.0%*	

ASSUMPTION REGISTER

Input	Base case	Basis
Digital EBITDA growth	16% → 11%	FY2026 growth 18.8%; Q1 FY2027 +15.1%; one tariff increase assumed in FY2027, then subscriber and ARPU growth slowing
Retail EBITDA growth	13% → 11%	Store additions plus quick commerce; below the 15–20% growth that would justify DMart-type multiples
O2C EBITDA growth	6%, then 3%	Near-term support from tighter refining markets during West Asia disruption, then mid-cycle growth in line with volumes
Oil & Gas EBITDA	−3% a year	Natural decline of KG-D6 production with no new field assumed
Other / New Energy	10% a year	Ramp-up of solar and battery giga-factories from a low normalised base
Revenue from operations	~7.2% a year	Built from segment revenue growth; O2C revenue at 3% dominates the mix
Capex / revenue	11.0% → 8.5%	FY2026: 11.4%. 5G rollout complete; New Energy spending peaks by FY2028
D&A / revenue	5.4% → 5.7%	FY2026: 5.4%; rises as recent capex is depreciated
Tax rate	25.17%	Statutory rate under section 115BAA, including surcharge and cess
Working capital	5% of Δ revenue	Kept small; Reliance runs low working capital, so the input moves value by under 1%

Years FY2032–FY2036 fade each segment's growth rate linearly to the 5% terminal rate (Oil & Gas stays at −3%). Full ten-year forecast in the Appendix.

Cost of capital

WACC of 11.2%: a cost of equity of 12.5% built from today's rupee rates

The input that matters most is built from observable rates, with the country-risk adjustment applied once rather than twice.

Component	Value	Source and reasoning
India 10-year G-sec yield	7.40%	Benchmark yield on the valuation date; it moved from 7.29% on 8 October to 7.44% on 28 October 2026 as the RBI tightened liquidity
Less: sovereign default spread	(1.80%)	The G-sec yield already prices India's default risk. Removing it gives a rupee riskless rate, so country risk is not counted twice when I add a total India ERP
Rupee riskless rate	**5.60%**	**Consistent with Damodaran's early-2026 estimate of 4.87% after the 75bp rise in G-sec yields since**
Equity risk premium, India	6.87%	Damodaran's total ERP for India: mature-market premium plus country risk premium
Beta (levered)	1.00	Median of regression betas against the Nifty 50: weekly 1-year 0.995, weekly 2-year 1.14, fortnightly 2-year 0.997
Cost of equity	**12.47%**	**5.60% + 1.00 × 6.87%**
Pre-tax cost of debt	8.00%	About 60bp over the G-sec for a domestic AAA issuer; Reliance's dollar bonds yield less but carry currency risk
After-tax cost of debt	5.99%	8.00% × (1 − 25.17%)
Weights: equity / debt	81.1% / 18.9%	Market values: equity ₹16.03 lakh crore, gross debt ₹3.74 lakh crore
WACC	**11.24%**	**81.1% × 12.47% + 18.9% × 5.99%**

WHY NOT SIMPLY G-SEC PLUS THE INDIA ERP?

A common shortcut adds a 7.4% G-sec yield to a total India ERP of about 7%. That counts country risk twice: once in the sovereign yield and again in the country risk premium inside the ERP. It would give a cost of equity near 14.3% and a WACC near 12.7%, cutting my DCF value by about ₹115 per share. The opposite shortcut, a mature-market ERP of about 4.2% on the G-sec yield, ignores equity-specific country risk and gives a WACC near 10.5%.

One WACC for the whole group is a simplification. A refiner and a telecom operator do not share a cost of capital. I accept it in the DCF because the SOTP, my primary method, values each segment at its own peer multiple and so implicitly at its own risk.

Sensitivity. Each 50bp of WACC moves the DCF value by about ₹40–55 per share (page 10). Because the base case assumes no value from growth after FY2036, terminal growth barely moves the result; the WACC and the return on new capital do.

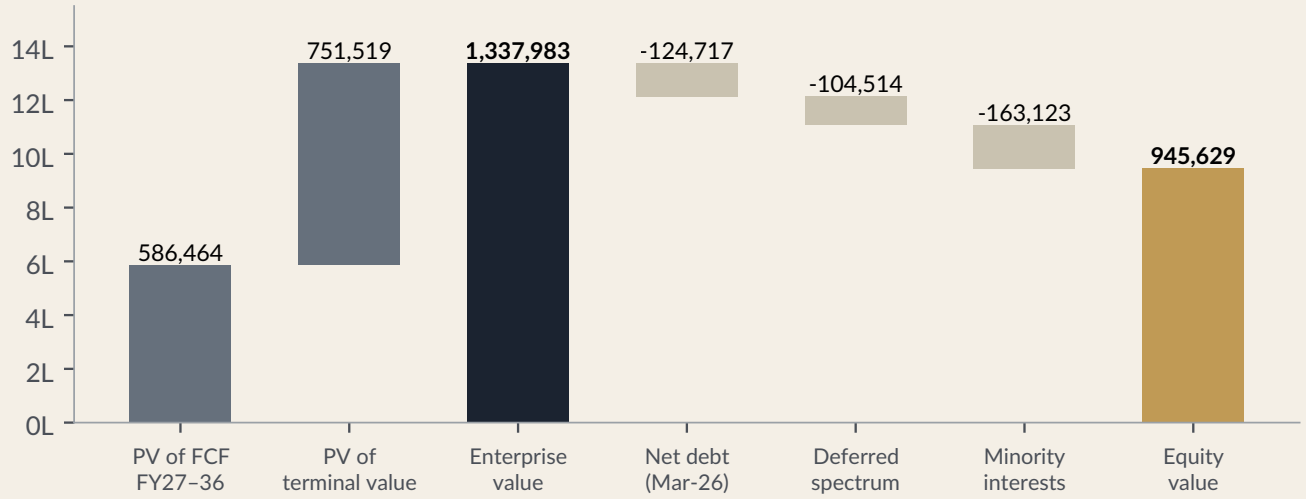
Discounted cash flow valuation

The DCF gives ₹699 per share: enterprise value of ₹13.4 lakh crore, 56% of it from the terminal value

Ten explicit years with a stub period and mid-year discounting, a terminal value consistent with the return on new capital, and a full bridge from enterprise value to equity.

₹ crore	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E	FY33E	FY34E	FY35E	FY36E
EBITDA	219,392	238,905	259,566	281,558	304,326	327,230	349,779	371,462	391,762	410,192
NOPAT	117,628	127,982	138,804	150,203	162,779	175,360	187,664	199,394	210,251	219,947
Capex	126,701	127,112	126,984	127,630	129,431	144,394	160,131	176,391	192,882	209,284
Unlevered FCF	**49,317**	**64,632**	**81,460**	**98,637**	**114,912**	**118,509**	**121,168**	**122,733**	**123,078**	**122,126**
Reinvestment rate	*58%*	*49%*	*41%*	*34%*	*29%*	*32%*	*35%*	*38%*	*41%*	*44%*
Cash flow discounted	21,619	64,632	81,460	98,637	114,912	118,509	121,168	122,733	123,078	122,126
Discount period (years)	*0.22*	*0.94*	*1.94*	*2.94*	*3.94*	*4.94*	*5.94*	*6.94*	*7.94*	*8.94*
Discount factor @ 11.24%	*0.977*	*0.905*	*0.813*	*0.731*	*0.657*	*0.591*	*0.531*	*0.477*	*0.429*	*0.386*
Present value	**21,120**	**58,483**	**66,261**	**72,125**	**75,533**	**70,025**	**64,361**	**58,603**	**52,829**	**47,123**

FY2027E: only the 160 days from 22 October 2026 to 31 March 2027 are valued (43.8% of the year's FCF), discounted to the middle of the stub. Later years are discounted to mid-year. Reinvestment rate = (capex − D&A + Δ working capital) ÷ NOPAT; from FY2032 it converges linearly to the terminal rate.



Terminal value	₹ crore
FY2037 NOPAT (FY2036 × 1.05)	230,944
× (1 − g ÷ RONIC) = 1 − 5.0% ÷ 11.24%	0.555
÷ (WACC − g)	6.24%
Terminal value at FY2036	**2,054,245**
Present value (× 0.366)	751,519

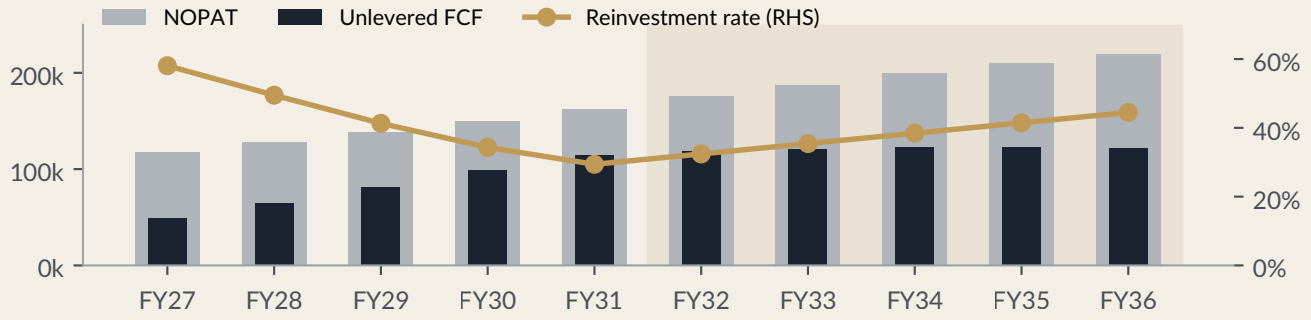
Enterprise value to equity	₹ crore
Enterprise value	1,337,983
Less: net debt (31 March 2026)	(124,717)
Less: Jio deferred spectrum dues	(104,514)
Less: minority interests	(163,123)
Equity value · per share	**945,629 · ₹699**

Minority interests: 35.5% of Jio's equity and about 15% of Retail's, each valued on the same DCF basis by allocating enterprise value in proportion to FY2026 EBITDA, so the deduction is consistent with the cash flows. Deferred spectrum dues are as at 30 June 2026 per the Jio Platforms RHP and are treated as debt-like.

DCF sensitivity and what the price implies

To justify ₹1,184.5 on cash flows, Reliance needs a 7.6% WACC or a decade of growth 4.4 points faster than I forecast

The useful sensitivities are the cost of capital and the return earned on new investment, not terminal growth.



Shaded: FY2032–36 fade period, in which the reinvestment rate converges to g ÷ RONIC.

THE TERMINAL-VALUE CONSISTENCY CHECK

A terminal value has to match the reinvestment it assumes. The earlier version of this model held capex at 10.5% of revenue into perpetuity while growth fell to 4%: FY2031 reinvestment of ₹103,156 crore was 63% of NOPAT, which implies a return on new capital of 4% ÷ 63% ≈ 6.3%, below a 10% WACC. That inconsistency alone cut the result by about a third. Here, terminal reinvestment is set by the identity **reinvestment rate = g ÷ RONIC**. In the base case RONIC equals WACC, so growth after FY2036 adds no value; the grid shows what higher returns on new capital would be worth.

DCF VALUE PER SHARE: WACC × RONIC

WACC ↓ / terminal RONIC →	= WACC (base)	13%	15%	18%
10.0%	₹825	₹981	₹1,051	₹1,126
10.5%	₹770	₹880	₹942	₹1,008
11.0%	₹721	₹796	₹851	₹910
11.2% (base)	**₹699**	**₹760**	**₹812**	**₹869**
11.5%	₹676	₹724	₹774	₹827
12.0%	₹635	₹663	₹708	₹756

DCF VALUE PER SHARE: WACC × GROWTH

WACC ↓ / g (RONIC 15%) →	4%	5%	6%
10.0%	₹992	₹1,051	₹1,144
10.5%	₹901	₹942	₹1,005
11.0%	₹823	₹851	₹893
11.2% (base)	₹789	₹812	₹847
11.5%	₹755	₹774	₹801
12.0%	₹697	₹708	₹725

REVERSE DCF: WHAT ₹1,184.5 REQUIRES

Lever, others at base	Value needed to reach ₹1,184.5	Plausibility
WACC	7.6%	Below the 7.4% G-sec yield on a rupee basis plus equity risk: not credible
EBITDA growth, all segments, FY2027–36	+4.4 pts a year	Group EBITDA compounding at about 12% for ten years: requires Jio and Retail to beat their own records
Terminal RONIC at 12% WACC	>18%	Even at 18% the value is ₹756; returns alone cannot close the gap

Interpretation. On cash flows I can forecast, Reliance is worth ₹700–900 per share. The other ₹300–500 is the market capitalising Jio and Retail at multiples that assume growth well beyond my ten-year window. The SOTP accepts the observable part of that (Jio's market price); it does not accept it for Retail, where there is no market price.

Trading comparables and the Jio IPO mark

Each segment gets a multiple from the peer that matches it; the Jio IPO adds a direct market price

No listed conglomerate matches Reliance, so comps are used segment by segment to set the SOTP multiples rather than to produce a consolidated value.

₹ crore unless stated	Reliance (naive)	Reliance (adjusted)	Jio (IPO price)	Bharti Airtel	Indian Oil	DMart
Share price (₹)	1,184.5	1,184.5	1,119	1,895	130.98	3,166
Market capitalisation	1,602,921	1,602,921	1,030,491	1,100,806	180,380	206,392
Net debt and debt-like items	124,717	229,231	101,880	107,949	118,356	1,804
Minority interests at value	—	467,202	—	—	—	—
Enterprise value	**1,727,638**	**2,299,354**	**1,132,371**	**1,208,754**	**298,736**	**208,196**
FY2026 EBITDA	207,911	198,987	76,255	121,268	77,062	5,621
EV / EBITDA	**8.3×**	**11.6×**	**14.8×**	**10.0×**	**3.9×**	**37.0×**

Reliance adjusted: adds Jio's deferred spectrum dues (₹104,514 crore) to net debt, adds minority stakes in Jio (at the IPO price) and Retail (at my base value), and removes the ₹8,924 crore one-off from EBITDA. Jio: post-money equity at ₹1,119 × 920.9 crore shares; net debt of ₹27,579 crore (March 2026) less ₹30,213 crore of IPO proceeds, plus deferred spectrum dues. Peer prices and financials as recorded in my workbook on the valuation date.

The naive multiple understates Reliance's valuation by 3.3 turns. A simple EV/EBITDA of 8.3× suggests Reliance trades at a discount to Bharti. Once debt-like spectrum dues, the market value of minority shareholders' stakes and the one-off gain are treated correctly, the market pays 11.6×. That is above Bharti's multiple, so the stock is not obviously cheap on a consolidated basis.

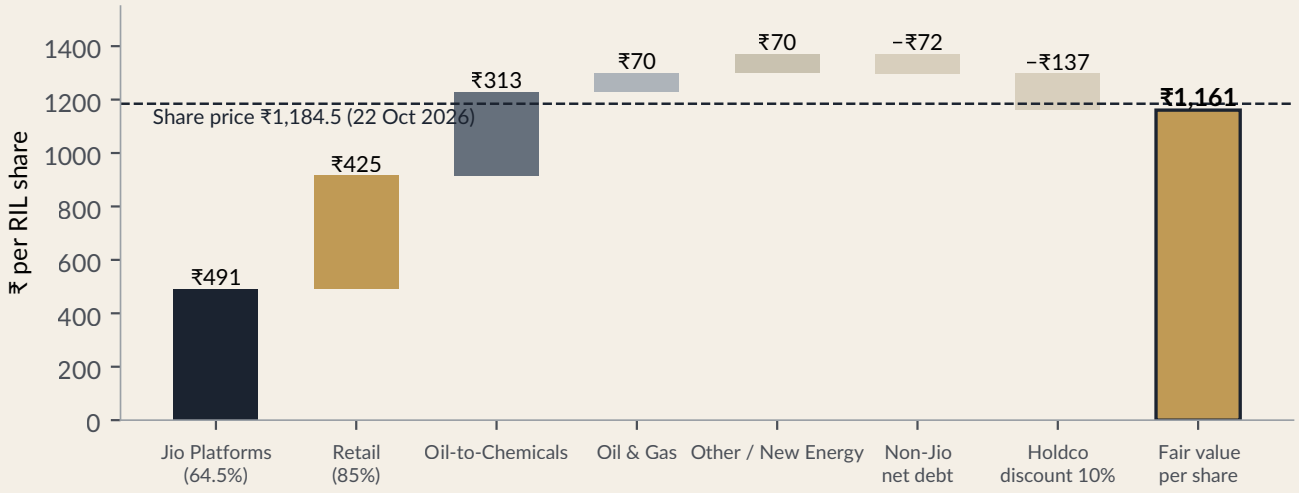
FROM COMPS TO SOTP MULTIPLES

Segment	Reference	Multiple used	Reasoning
Digital (Jio)	IPO 14.8×; Bharti 10.0×	Market price	A listed stake is valued at its price, less the holding-company discount
Retail	DMart 37×; 2023 round ~31×	25×	Discount to DMart for lower margin (7% vs 8%), higher capex and no listing
Oil-to-Chemicals	Indian Oil 3.9×	7.0×	IOC carries a state-ownership and pricing discount; RIL's complex, export-oriented refining and integrated petchem earn more through the cycle
Oil & Gas	Upstream peers ~4–6×	5.0×	Declining production profile caps the multiple
Other / New Energy	—	6.0×	Low current EBITDA; no option value assigned to New Energy beyond it

Sum-of-the-parts valuation

The SOTP gives ₹1,160 per share: Jio and Retail account for two-thirds of gross asset value

Each business at its own multiple and Reliance's economic ownership, less debt held outside Jio and a 10% holding-company discount.



Component	Basis	Value to RIL	Per share	Share of GAV
Jio Platforms (64.5%)	64.5% × ₹10.30 lakh cr	664,666	₹491	36%
Retail (85%)	85% × 25.0× × 27,034	574,472	₹425	31%
Oil-to-Chemicals	7.0× × 60,546	423,822	₹313	23%
Oil & Gas	5.0× × 19,050	95,250	₹70	5%
Other / New Energy	6.0× × 15,797	94,782	₹70	5%
Gross asset value		**1,852,993**	**₹1,369**	**100%**
Less: net debt outside Jio	124,717 − 27,579	(97,138)	(₹72)	
Less: holding-company discount	10% of GAV	(185,299)	(₹137)	
Equity value · fair value per share		**1,570,556**	**₹1,161**	

CHOICES THAT MATTER

Ownership, not consolidation. Reliance owns 64.5% of Jio after the IPO's fresh issue (66.4% before) and about 85% of Retail. Valuing 100% of each, as a consolidated multiple implicitly does, overstates RIL's equity by more than ₹4.6 lakh crore.

Debt is counted once. Jio's net debt and spectrum dues are already reflected in its market price, so only the ₹97,138 crore of net debt outside Jio is deducted at the group level.

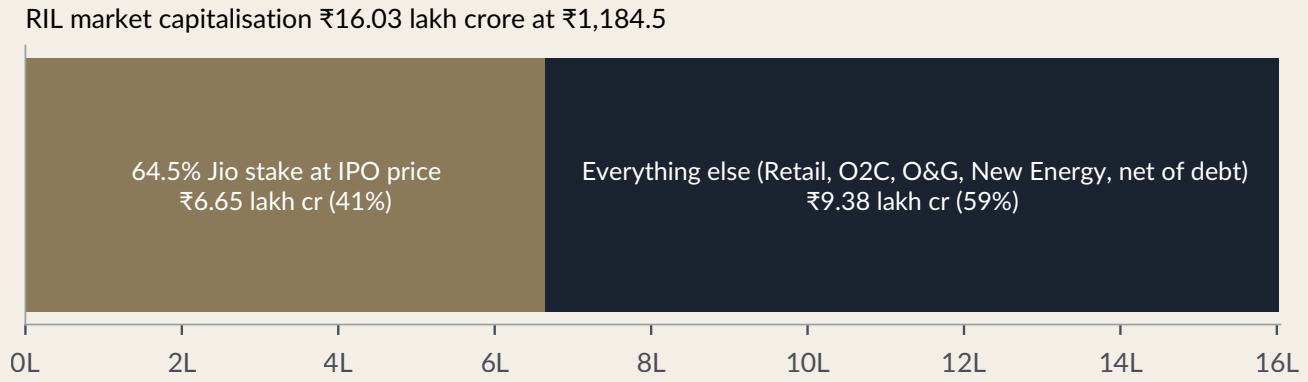
Holding-company discount of 10%. Indian conglomerates typically trade 10–20% below their SOTP. I use the low end because the Jio listing gives RIL holders a liquid reference price; one brokerage analysis suggests the market applied an implied discount of about 36% to the Jio stake before listing, which is the main source of upside in my bull case.

Trailing multiples. FY2026 EBITDA is applied to trailing peer multiples for consistency. On FY2027 EBITDA, the same equity value implies multiples about 9% lower.

What the market is paying for everything except Jio

Strip out the Jio stake and the market values Reliance Retail at 18.3× EBITDA, about 40% below its last funding round

A stub analysis turns the share price into a statement about the part of the group that has no market price.



Step	₹ crore	Note
RIL market capitalisation at ₹1,184.5	1,602,921	1,353.25 crore shares
Less: 64.5% Jio stake at IPO price	(664,666)	41% of RIL's market value
Stub equity value	**938,255**	**What investors pay for everything else**
Add: net debt outside Jio	97,138	
Stub enterprise value	**1,035,393**	
Less: O2C (7×), Oil & Gas (5×), Other (6×)	(613,854)	Same multiples as the SOTP
Implied value of RIL's 85% of Retail	**421,539**	
Implied value of 100% of Retail · EV/EBITDA	**495,928 · 18.3×**	**vs 2023 round ₹8.36 lakh cr (~31×) and DMart 37×**

This analysis does not include any holding-company discount, so it is generous to the market: with a 10% discount, implied Retail falls further. The result is robust to the O2C multiple. Even at 5× instead of 7×, implied Retail reaches only about 24× FY2026 EBITDA, still well below both the funding round and DMart.

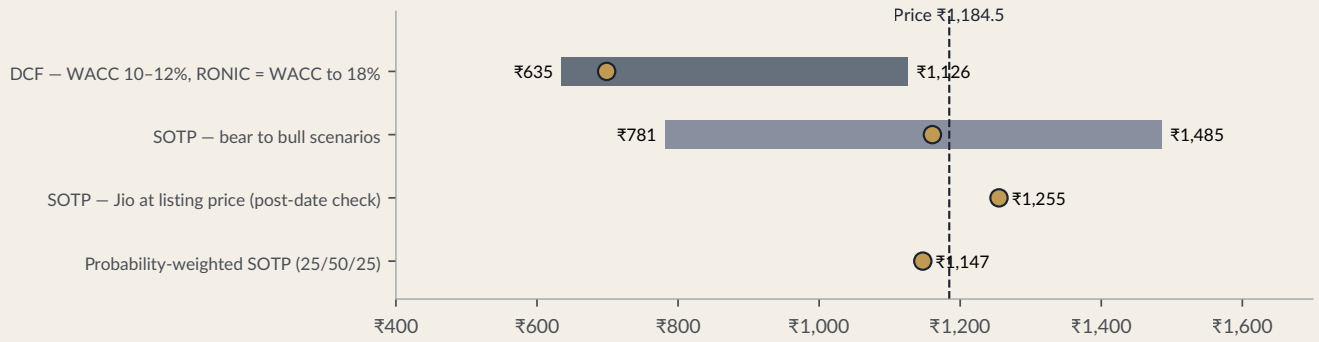
Two readings are possible. Either investors doubt that Retail can grow into a premium multiple without a listing, in which case a Retail IPO is the catalyst; or the market is using Retail to absorb a group-level discount. Either way, the gap between ₹4.96 lakh crore implied and ₹8.36 lakh crore transacted is where I see the asymmetry in the stock.

Why this matters for the view. My fair value is close to the price because I value Retail at 25×, between the market's implied 18× and the funding round's 31×. If Retail were valued at the 2023 round, fair value would be about ₹1,250 per share; at the market-implied multiple, about ₹1,060.

Valuation summary and scenarios

Fair value ₹1,160 against a price of ₹1,184.5: fairly valued, with the bull case resting on Retail rather than Jio

The methods are shown side by side; the view comes from the SOTP, with the DCF marking the floor on fundamentals.



Scenario inputs	Bear	Base	Bull
Jio Platforms equity (100%)	₹6.61 L cr (10× EBITDA)	₹10.30 L cr (IPO price)	₹12.71 L cr (18× EBITDA)
Retail EV/EBITDA	18× (market-implied)	25×	30×
O2C / O&G / Other	6× / 4× / 5×	7× / 5× / 6×	8× / 6× / 7×
Holding-company discount	15%	10%	5%
Equity value (₹ crore)	**1,057,343**	**1,570,556**	**2,010,173**
Value per share · vs ₹1,184.5	**₹781 · −34%**	**₹1,161 · −2%**	**₹1,485 · +25%**
Probability	25%	50%	25%

The probability-weighted value is ₹1,147, 3% below the price. The distribution is nearly symmetric (−34% to +25%), so I would not call the stock a buy at ₹1,184.5. The asymmetry is in the drivers rather than the totals: the bear case requires Jio to lose its IPO premium, while the largest single step in the bull case is Retail at 30×, close to where investors last transacted in 2023.

Valuation view: fairly valued. Fair value ₹1,160 per share (range ₹781–1,485). At the valuation date the price already reflects Jio's IPO valuation in full, and on a conservative DCF the market price assumes more growth than I can forecast.

What I would watch. Jio's trading multiple after listing; any Retail funding round or IPO filing; quarterly refining margins; whether FY2027 capex comes in below FY2026's ₹122,916 crore.

Risks and catalysts

The value is most exposed to Jio's multiple, the refining cycle and the capex path

Business risks ranked by their effect on fair value, followed by dated catalysts.

Risk	Mechanism	Effect on fair value
Jio de-rating after listing	The IPO multiple of 14.8× compresses toward Bharti's 10× as growth normalises after tariff increases	−₹160 per share at 10×
Refining and petchem downcycle	Margins revert once West Asia supply disruption eases; Chinese petchem capacity keeps spreads low	−₹40 per share per 1× O2C multiple
Retail execution	Store productivity and quick-commerce losses hold EBITDA growth below 10%; no listing	−₹110 per share at 18×
Capex overrun in New Energy	Giga-factory spending keeps capex above 10% of revenue, delaying the FCF inflection	DCF −₹60 to −₹100 per share (capex +1.5 to +2.5pts)
Higher rates	G-sec yields at 7.7–8.0% as some forecasters expect lift WACC by 30–60bp	DCF −₹25 to −₹65 per share
Regulation and tariffs	Telecom tariff increases delayed; spectrum auction costs; fuel pricing intervention	Mainly through Jio's multiple
Governance and capital allocation	Related-party transactions, minority dilution in subsidiaries, or acquisitions at full prices widen the holdco discount	−₹70 per share per 5pts of discount

CATALYSTS

Event	Timing	Why it matters
Jio Platforms listing	28 Oct 2026	First daily market price for 41% of RIL's value; tests the holdco discount
Q2 FY2027 results	Oct–Nov 2026	First read on O2C margins in the disrupted refining market and on Retail growth
Telecom tariff increase	Expected Dec 2026	Underpins my 16% FY2027 Digital EBITDA growth; one brokerage expects about 15%
Retail funding round or IPO	Not announced	The most direct way to close the gap between implied and transacted Retail value
FY2027 capex guidance	FY2027 results, Apr 2027	Confirms or delays the capex decline that drives the FCF inflection

Model limitations. One WACC is applied to all segments in the DCF. Segment capex is not disclosed, so capex is forecast at group level. Minority stakes in Retail are approximate (about 15% outside ownership). Net debt is as at 31 March 2026, while market prices are as at 22 October 2026. None of these changes the direction of the conclusion.

Sources, methodology and revision note

Sources, method, and what changed from the first edition

SOURCES

Data	Source
Historical financials, segment data	Reliance Industries Annual Reports FY2021–22 to FY2025–26 (consolidated), as recorded in my workbook
FY2026 one-off gain, net debt, management capex	RIL media release, Q4 FY2025–26 results, 24 April 2026
Jio Platforms financials, borrowings, spectrum dues	Jio Platforms DRHP (19 June 2026) and RHP, as reported by 5paisa, ipocentral and Outlook Money
Jio IPO terms, price, listing, RIL stake	Groww and 5paisa (IPO terms); Business Standard and PTI (listing, 28 October 2026; stake)
Retail funding valuations, RIL stake	RRVL announcements on QIA, KKR and ADIA investments (2023), via Business Standard and Outlook Business; Bernstein estimate of RIL's ~85% stake
G-sec yield	Business Standard (8 October 2026); Ventura Securities and Kotak Neo bond updates (October 2026)
India ERP, riskless rate	Aswath Damodaran, country risk premium data (2026)
Beta	Regression betas vs Nifty 50, topstockresearch.com
Peer market data	Company FY2026 annual reports and exchange prices on the valuation date, per workbook

METHODOLOGY

DCF: unlevered FCF = NOPAT + D&A − capex − Δ working capital, FY2027E (stub) to FY2036E, mid-year discounting at 11.24%; terminal value = NOPAT × (1 + g) × (1 − g ÷ RONIC) ÷ (WACC − g) with g = 5% and RONIC = WACC; equity = EV − net debt − deferred spectrum dues − minority interests. **SOTP:** RIL's share of each segment at its own multiple (Jio at market), less net debt outside Jio and a 10% holding-company discount. **Comps:** EV including debt-like items and minority interests at value, on normalised EBITDA.

REVISION NOTE: CHANGES FROM THE OCTOBER 2026 FIRST EDITION

Area	First edition	This edition
WACC	10.0%, typed in	11.24%, built from G-sec, default spread, ERP and beta
Terminal value	Capex 2.1× D&A forever; implied RONIC 6.3%	Reinvestment = g ÷ RONIC; RONIC sensitivity shown
Forecast	8% revenue growth, fixed ratios, gross revenue	Segment EBITDA build on net revenue; 10 years with fade
Discounting	End-year, full first year	Stub period and mid-year convention
Equity bridge	Net debt only	Adds spectrum dues and minority interests
EBITDA	Included ₹8,924 cr one-off	Normalised to ₹198,987 cr
SOTP	Illustrative multiples on 100% of each segment	Peer-based multiples, Jio at market, RIL ownership, holdco discount
Conclusion	No value per share	Fair value ₹1,160; scenarios; reverse DCF; stub analysis

Events after the valuation date (not in the base case). Jio listed on 28 October 2026 at ₹1,358, 21% above the IPO price, for a market value of about ₹12.5 lakh crore; at that price my SOTP is ₹1,255 per share. On 2 November, RIL rose 11.6% after record quarterly profit, with its Jio stake then valued at about ₹8.37 lakh crore. Both moves are in the direction of my bull case.

Appendix

Historical financials, FY2022–FY2026

₹ crore	FY2022	FY2023	FY2024	FY2025	FY2026
Revenue from operations	717,635	891,311	914,472	980,136	1,075,675
Gross revenue	788,743	974,864	1,000,122	1,071,174	1,175,919
EBITDA (reported)	123,684	153,920	178,290	183,422	207,911
Profit before tax	82,154	94,046	104,340	106,017	123,162
Profit after tax	67,845	74,088	79,020	81,309	95,754
Operating cash flow	110,654	115,032	158,788	178,703	192,113
Capex (cash flow)	100,145	140,988	152,883	139,967	122,916
Total assets	1,499,665	1,607,431	1,755,986	1,950,121	2,178,140
Total equity	888,984	828,881	925,788	1,009,626	1,085,866
Gross debt	266,305	313,966	324,622	347,530	374,421
Net debt	34,815	125,766	116,281	117,083	124,717
EBITDA margin (on revenue from operations)	*17.2%*	*17.3%*	*19.5%*	*18.7%*	*19.3%*

Consolidated statements as recorded in my workbook. FY2026 EBITDA includes the ₹8,924 crore one-off gain; normalised EBITDA is ₹198,987 crore (18.5% margin). Net debt is Reliance's reported measure and excludes deferred spectrum liabilities.

FULL TEN-YEAR FORECAST

₹ crore	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E	FY33E	FY34E	FY35E	FY36E
Revenue from operations	1,151,829	1,234,093	1,322,753	1,418,109	1,522,717	1,629,563	1,736,695	1,842,079	1,943,699	2,039,696
Growth	*7.1%*	*7.1%*	*7.2%*	*7.2%*	*7.4%*	*7.0%*	*6.6%*	*6.1%*	*5.5%*	*4.9%*
EBITDA	219,392	238,905	259,566	281,558	304,326	327,230	349,779	371,462	391,762	410,192
Margin	*19.0%*	*19.4%*	*19.6%*	*19.9%*	*20.0%*	*20.1%*	*20.1%*	*20.2%*	*20.2%*	*20.1%*
D&A	62,199	67,875	74,074	80,832	86,795	92,885	98,992	104,998	110,791	116,263
EBIT	157,193	171,030	185,492	200,725	217,531	234,345	250,788	266,463	280,971	293,929
NOPAT	117,628	127,982	138,804	150,203	162,779	175,360	187,664	199,394	210,251	219,947
Capex	126,701	127,112	126,984	127,630	129,431	144,394	160,131	176,391	192,882	209,284
Δ working capital	3,808	4,113	4,433	4,768	5,230	5,342	5,357	5,269	5,081	4,800
Unlevered FCF	**49,317**	**64,632**	**81,460**	**98,637**	**114,912**	**118,509**	**121,168**	**122,733**	**123,078**	**122,126**

FY2032–36 capex is derived from the converging reinvestment rate rather than a fixed share of revenue, so the explicit forecast and the terminal value describe the same economics.